

LIMITED SOURCE JUSTIFICATION PURSUANT TO FAR 13.106-1

1. **CONTRACTING AGENCY:** U.S. Army Corps of Engineers, Seattle District
2. **DESCRIPTION OF ACTION:** Approval is requested for a Brand Name Justification to Panolin America INC, to provide brand name Shell Panolin S5 Grease EAL A600P 1, formerly Panolin Biogrease EP1, for Environmentally Acceptable Lubricants (EAL), required replacements of grease and petroleum products at Albeni Falls Dam, Oldtown, Idaho. These required petroleum products are needed to replace the currently used products that do not meet the Standard Environmental Policy for Oil Accountability at Hydro Operating Projects in the Northwestern Division and Seattle District (See NWS Oil Accountability Policy). Shell Oil Products US is the only known provider of this specific product. The total estimated cost for the EAL acceptable grease with shipping is \$25,439.28 for 6, 180kg drums.
3. **AUTHORITY CITED:** 10 USC 2304(c)(1) and FAR 13.106-1(b) Soliciting from a single Source, to include brand name (1) For purchases not exceeding the simplified acquisition threshold.
4. **REASON FOR AUTHORITY CITED:** Pursuant to FAR 13.106-1(b)(1)(ii) Where a single source is identified to provide a portion of a purchase because that portion of the purchase specifies a particular brand-name item, the documentation in paragraph (b)(1)(i) of this section only applies to the portion of the purchase requiring the brand-name item. The documentation should state it is covering only the portion of the acquisition which is brand-name.

Based on the year-long testing and monitoring program conducted by Hydroelectric Design Center (HDC) Engineers, it was determined that EALs to include Panolin Biogrease EP1 were feasible to be used in wicket gate applications, as identified at Albeni Falls Dam (See HDC EAL Memo 6-15-2018).

In 2019, HDC performed an inspection of Albeni's Farval system and provided the attached report indicating several potential EALs that could be used to replace our existing Jax Magna-Plate grease (See Compatibility Testing Panolin EP1 and Jax MagnaPlate 44-2). Any potential EALs require extensive compatibility testing with Albeni's existing grease, Jax Magna-Plate 44-2, to ensure that introducing one of these EALs into a complex centralized greasing system will not result in incompatibility issues such as foaming. It is unknown what salient characteristics will make any EAL grease compatible with Albeni's existing grease. Compatibility testing of each individual EAL grease must be performed to find this data. Incompatibility would result in extensive labor to disassemble the entire system, and clean and flush approximately 1 thousand components, all while the Main Generating Units are shut down resulting in lost power production for months.

Panolin has proven to be compatible with most if not all Farval greases being used in powerhouses along the Columbia and Snake rivers. Bonneville, The Dalles, John Day, McNary, and Lower Granite are all using Panolin Biogrease EP1 or EP2 for their Farval Systems. Knowing that Panolin has a history of being compatible with most USACE dam's existing grease, Panolin Biogrease EP1 was chosen to be compatibility tested with the currently used grease, Jax MagnaPlate 44-2, thru SGS Labs for the amount of \$2,500. Tests included ASTM

Limited Source Justification-AFD Panolin Grease

D6185 grease blending, ASTM 6185 dropping point and high temperature storage stability. The process of obtaining quotes, purchasing the sample grease and receiving the test data took approximately 4 months. Once the data was received, a review of the data was performed by HDC for another \$2,500 and several weeks to determine compatibility. See attached compatibility test data provided by SGS labs. HDC found Panolin Biogrease EP1 to be acceptable for use in the grease/lubricating system at Albeni Falls Dam. See attached compatibility review of SGS test data performed by HDC.

5. BASIS FOR RESTRICTING COMPETITION: The wicket gates at several sites, to include Albeni Falls Dam, have been studied by HDC and found that Panolin Biogrease EP1 was an acceptable EAL. Additional review of compatibility test results by HDC has shown that Panolin Biogrease EP1 is compatible with the current grease/lubricating system serving the wicket gates. Compatibility of an EAL with the existing grease serving the wicket gate system is of great importance as it is impossible to completely purge all existing grease from the system prior to introducing the new grease.

If a non-compatible EAL is introduced into the wicket gate system, maintenance downtime could take months to disassemble, clean and purge the system, which would result in lost power generation and unnecessary labor costs.

6. MARKET RESEARCH:

No other entity is authorized to manufacture this product.

7. REFERENCED DOCUMENTS:

- a. NWS Oil Accountability Policy
- b. HDC EAL Memo 6-15-2018
- c. Compatibility Testing Panolin EP1 and Jax MagnaPlate 44-2

No other vendor was found to carry or supply the Shell Panolin S5 Grease EAL A600P 1, formerly known as Panolin Biogrease EP1.

Previous Awarded Contracts for similar requirement(s):

- W912EF-15-A-0017-0004
- W912DW20P0068
- W912DW24P4000

CONTRACTING OFFICER CERTIFICATION:

I hereby certify to the best of my knowledge this justification is accurate and complete.

NAME: Robert Gonzalez

DATE: _____

TITLE: Contracting Officer

SIGNATURE: _____

FAIR AND REASONABLE COST DETERMINATION:

I hereby determine that the anticipated cost or price to the Government for this contract action will be fair and reasonable pursuant to FAR 13.106-3.

NAME: Robert Gonzalez

DATE: _____

TITLE: Contracting Officer

SIGNATURE: _____

APPROVAL:

Based on the foregoing justification, I hereby approve the procurement of Shell Panolin S5 Grease EAL A600P 1 Grease for use at Albeni Falls Dam, Oldtown, ID, as a brand name source pursuant of FAR 13.106-1(b) "Soliciting from a single source. (ii) Where a single source is identified to provide a portion of a purchase because that portion of the purchase specifies a particular brand-name item, the documentation in paragraph (b)(1)(i) of this section only applies to the portion of the purchase requiring the brand-name item.

NAME: Robert Gonzalez

DATE: _____

TITLE: Contracting Officer

SIGNATURE: _____